Please write clearly in block capitals.

Centre number Candidate number

Surname ____

Forename(s) ____

Candidate signature ______________________________

A-level

ECONOMICS

Paper 1 Markets and market failure

Predicted Paper **Time allowed: 2 hours**

Materials

For this paper you must have:

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/1.
- In Section A, answer **EITHER** Context 1 **OR** Context 2.
- In Section B, answer **ONE** essay.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
  – use good English
  – organise information clearly
  – use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set C — Advanced]

Section A

Answer EITHER Context 1 OR Context 2.

EITHER

Context 1 **Total for this context: 40 marks**

The UK National Living Wage and labour market inequality

Study **Extracts A, B and C** and then answer **all** parts of Context 1 which follow.

Extract A: UK labour market indicators

Figure 1: UK labour market and inequality data, 2014–2024

Year	NLW hourly rate (£)	Real median weekly earnings (£, 2024 prices)	Gini coefficient (disposable income)	Employment rate (16–64, %)
2014	6.50	542	0.340	72.9
2017	7.50	553	0.351	74.8
2020	8.72	566	0.355	75.4
2024	11.44	578	0.363	75.0

Figure 2: Employment share in selected UK sectors, 2024

Sector	Employment (millions)	Share of NLW workers (%)	Median hourly wage (£)
Hospitality	2.24	28.3	11.90
Retail	3.05	22.7	12.40
Social care	1.79	19.1	12.70
Professional services	5.70	0.4	22.85
Manufacturing	2.52	6.8	16.30

Source: Office for National Statistics / Low Pay Commission, 2024

Extract B: The National Living Wage and monopsony power

In April 2024 the UK National Living Wage (NLW) was raised by 9.8% to £11.44 per hour and extended to workers aged 21 and over. The Low Pay Commission estimated that 2.7 million workers were directly affected. The Office for Budget Responsibility projects the NLW will reach two-thirds of median earnings by 2025, placing the UK close to the highest relative minimum wage among OECD economies.

Classical labour market theory predicts that minimum wages above equilibrium will reduce employment. Empirical evidence from the UK, however, has consistently shown employment effects smaller than predicted. Economists attribute this to monopsony power held by dominant employers in sectors such as social care, retail and hospitality. Where a firm faces an upward-sloping labour supply curve, it can hold wages below the marginal revenue product of labour; a well-targeted minimum wage can then raise pay without reducing employment. Additional factors include efficiency-wage effects, reduced staff turnover, and the ability of firms to absorb higher wage bills through lower profits, productivity gains or selective price increases.

Source: News reports, April 2024

Extract C: Inequality and distributional impact

A 2024 Resolution Foundation analysis concluded that while the NLW has raised the relative pay floor, overall income inequality (measured by the Gini coefficient) has continued to drift upward, largely because top-decile incomes have grown faster than median pay. Wealth inequality is even more pronounced than income inequality: the top 10% of UK households own around 43% of wealth, while the bottom 50% own less than 9%. Wealth inequality tends to be self-reinforcing through returns on capital, inheritance, and differential access to housing.

Economists debate the policy response. Some argue for further minimum wage rises; others point to evidence of spill-over effects that compress the wage distribution beyond the directly-affected group. Behavioural economists observe that low-paid workers often exhibit present bias in pensions and savings decisions, meaning wage increases alone may not translate into improved long-run welfare without complementary interventions such as auto-enrolment. Critics of further intervention argue that the NLW has already been extended further than evidence can support, and that additional increases risk significant disemployment effects, particularly among younger workers in small firms. Structural causes of low pay — including weak productivity growth, regional concentration of high-wage employment and limited vocational training — may require more fundamental reform.

Source: News reports, August 2024

0 1 Using the data in Extract A (Figure 1), calculate the percentage change in real median weekly earnings between 2014 and 2024. Give your answer as a percentage to one decimal place. **[2 marks]**

0 2 Explain how the data in Extract A (Figure 2) show that the effects of the National Living Wage are concentrated in particular sectors of the UK economy. **[4 marks]**

0 3 Extract B (lines 9–13) states that 'Where a firm faces an upward-sloping labour supply curve, it can hold wages below the marginal revenue product of labour; a well-targeted minimum wage can then raise pay without reducing employment.' **[9 marks]**

With the help of a monopsony diagram, explain how the introduction of a minimum wage may raise both wages and employment in a monopsonistic labour market.

0 4 Extract C (lines 12–14) states that 'the NLW has already been extended further than evidence can support, and... additional increases risk significant disemployment effects, particularly among younger workers in small firms.' **[25 marks]**

Use the extracts and your knowledge of economics to evaluate the view that further increases in the UK National Living Wage would be the most effective policy for reducing income inequality and in-work poverty.

Do NOT answer Context 2 if you have answered Context 1.

OR

Context 2 **Total for this context: 40 marks**

Market power in digital platform markets

Study **Extracts D, E and F** and then answer **all** parts of Context 2 which follow.

Extract D: UK digital markets

Figure 3: Market shares in selected UK digital markets, 2024

Market	Leading firm	Market share (%)	2nd-largest firm	Market share (%)
Search advertising	Google	92.8	Microsoft Bing	3.5
Mobile operating systems	Apple iOS	52.1	Google Android	47.6
App stores (iOS)	App Store	100.0	—	—
Online marketplaces	Amazon	30.1	eBay	16.2
Ride-hailing	Uber	56.4	Bolt	21.7
Food delivery	Deliveroo	34.0	Just Eat	33.5

Figure 4: Profit margins of major tech firms, 2023

Firm	Revenue ($bn)	Operating margin (%)	R&D as % of revenue
Alphabet (Google)	307.4	27.4	15.0
Apple	383.3	29.8	8.0
Amazon	574.8	6.4	14.1
Meta	134.9	34.7	28.5
Microsoft	211.9	41.8	12.6

Source: Statcounter / Company annual reports, 2024

Extract E: Network effects and barriers to entry

Digital platforms are characterised by strong network effects: the value of a service increases as more users join. A social network with more users is more useful to each new user; a ride-hailing app with more drivers offers shorter wait times. These dynamics produce a natural tendency toward market concentration, as smaller rivals struggle to offer equivalent network benefits. Market leaders enjoy self-reinforcing advantages: their scale produces more data, which improves their services, which attracts more users, which generates yet more data. Barriers to entry are high, not because of explicit restrictions, but because of the network effects themselves.

In 2023 the UK passed the Digital Markets, Competition and Consumers Act, giving the CMA's new Digital Markets Unit powers to designate firms with "strategic market status" and impose tailored conduct requirements. Similar legislation has come into force in the EU (the Digital Markets Act) and parts of Asia. Defenders of Big Tech argue that digital markets remain highly contestable, citing the displacement of MySpace by Facebook, of BlackBerry by Apple, and the rise of TikTok. They caution that heavy-handed regulation risks stifling the dynamic efficiency and product innovation that R&D-intensive; tech firms have delivered to consumers.

Source: News reports, May 2024

Extract F: Regulating digital platforms

The economics of digital platforms challenge traditional competition policy. Many platforms operate in two-sided markets, serving different user groups (for example, consumers and advertisers, or passengers and drivers). Pricing on one side of the market is often below marginal cost — sometimes zero — funded by high margins on the other side. This makes conventional welfare analysis difficult: a zero-price service can still entail significant consumer costs if user data is exploited, or if rivals are unfairly excluded.

Asymmetric information is a further concern. Consumers typically cannot evaluate how their data are used, or the full cost of "free" services. Behavioural factors — default options, framing, and attention scarcity — reinforce platform dominance. Critics argue that self-preferencing (promoting a platform's own products over rivals'), killer acquisitions (buying small innovators before they become competitive threats), and steering practices systematically harm consumer welfare. Yet policy design is complex: poorly-targeted rules risk entrenching rather than challenging incumbents, and regulatory capture is a particular concern given the resources Big Tech devotes to lobbying. A 2024 IEA paper argued that ex-ante regulation in digital markets risks government failure and that ex-post competition enforcement remains the better approach.

Source: News reports, September 2024

0 5 Using the data in Extract D (Figure 3), calculate, to one decimal place, the difference in the two-firm concentration ratio between the search advertising market and the food delivery market. Show your working. **[2 marks]**

0 6 Explain how the data in Extract D (Figures 3 and 4) suggest that firms with dominant positions in digital markets are able to earn supernormal profits. **[4 marks]**

0 7 Extract E (lines 4–6) states that 'These dynamics produce a natural tendency toward market concentration, as smaller rivals struggle to offer equivalent network benefits.' **[9 marks]**

With the help of a diagram, explain how network effects in digital platform markets may lead to monopoly outcomes and a misallocation of resources.

0 8 Extract F (lines 13–15) states that 'ex-ante regulation in digital markets risks government failure and... ex-post competition enforcement remains the better approach.' **[25 marks]**

Use the extracts and your knowledge of economics to evaluate the view that competition authorities should actively regulate digital platforms rather than relying on the threat of new entry to discipline market power.

Section B

Answer ONE essay from this section.

Each essay carries 40 marks.

EITHER

Essay 1

The theory of contestable markets argues that what matters for efficiency is not the number of firms in a market, but the ease with which new firms can enter and exit. A perfectly contestable monopoly might in theory produce the same outcomes as perfect competition. The UK coffee shop market, dominated by chains such as Costa and Starbucks but with significant entry by independent operators, is sometimes cited as an example of monopolistic competition with contestable features.

0 9 Explain, with the aid of diagrams, how price and output are determined for a firm in a monopolistically competitive market in both the short run and the long run. **[15 marks]**

1 0 Evaluate the view that the degree of contestability of a market is a more important determinant of economic efficiency than the number of firms operating in it. **[25 marks]**

OR

Essay 2

Behavioural economics challenges the traditional assumption that consumers are rational utility-maximisers. Cognitive biases — including present bias, loss aversion, anchoring and bounded rationality — systematically distort decision-making. The UK Behavioural Insights Team, originally established within the Cabinet Office, pioneered the use of "nudges" such as pension auto-enrolment. However, critics question whether nudges are a sufficient response to the major market failures of the modern economy.

1 1 Explain how insights from behavioural economics, including bounded rationality and present bias, can help to explain market failure in markets such as those for pensions, energy and unhealthy food. **[15 marks]**

1 2 Evaluate the view that behavioural nudges are a more efficient and equitable method of correcting market failure than taxation or regulation. **[25 marks]**

OR

Essay 3

The UK has a legal obligation to reach net-zero greenhouse gas emissions by 2050. Climate change is often described as the greatest example of market failure in human history, generating vast negative externalities that cross national boundaries and affect future generations. Policymakers have combined emissions trading, carbon taxation, subsidies for renewable energy, regulation of energy efficiency, and information campaigns. Each instrument has strengths and weaknesses; debate continues about the best policy mix.

1 3 Explain, with the aid of a diagram, how negative production externalities from carbon emissions lead to an inefficient allocation of resources in a free market. **[15 marks]**

1 4 Evaluate the view that carbon taxation is the most effective way to address the market failure arising from greenhouse gas emissions in the UK. **[25 marks]**

END OF QUESTIONS